

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOR

Date: 5/22/2026

Bill Number: SB21

Short Title (as it appears on BASIS): AK WORK & SAVE PRGRM; PFD INVESTMENT ACCT

What action do you recommend the Governor take?

Select one.

☐ SIGN ☒ VETO ☒ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

Re: Commissioner Office: With the newly created TrumpIRA program, this program may be unnecessary. As such, DOR is apathetic on whether or not the legislation should become law.

Re: Treasury: The purpose of the program is to promote retirement savings in Alaska, which is expected to close the retirement savings gap for many private-sector workers who have no access to employer-sponsored retirement benefits, such as a 401(k). In addition to increasing retirement accounts via auto-IRA, states with such programs have identified uptake in employer-sponsored programs. Such states also have expectations of decreased future benefits required for public assistance recipients.

However, unlike most auto-IRA state programs, this legislation does not mandate that employers offer this program, only that employers will facilitate participation of employees. This will result in fewer accounts, higher start-up costs, lower program growth and a slower path to cost recovery for the state.

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This program will require hiring new staff to develop and oversee the program, which may take considerable time in our recruitment environment.

Finally, it is too soon to tell what impact the newly created TrumpIRA program will have on state run programs and whether the state should establish its own program preemptively or wait for the federal program to be established.

Re: PFD: This is a critical period for PFD, as the Division will be transitioning to a new system over the next few months. During this time, the PFD IT team will be learning the new platform while also being required to make immediate coding changes if this bill is enacted. The turnaround time for programming and testing, followed by implementation before January 1, 2027, leaves very little margin for error.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

This bill creates the new Alaska Work and Save program within DOR to be administered by the Commissioner of Revenue or their designee.

The bill establishes an auto-IRA program for individuals whose employers do not have a retirement program and other individuals, including gig and seasonal workers, who wish to join. The bill and fiscal notes are modeled after the Colorado Secure Choice, whose Treasury oversees the program with a vendor that provides day-to-day operational program administration. The bill also allows PFD recipients to direct their dividend towards this retirement program during PFD enrollment.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1 adds a new section, 43.23.058 that establishes that money can be directed from the Permanent Fund dividend and deposited into an investment account and to design the application form to do so, including that applicant assumes the risk of such investment. The dividend fund may not be used for administrative costs to implement the section.

Section 2 establishes that the Alaska Work and Save Program is one of the eligible programs under the contribution list for the PFD.

Section 3 amends AS 43.23.130(b) to list the Alaska work and Save Program

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Section 4 amends A 43.33.130(m) to prohibit the department from withholding a coordination fee for contributions to the Alaska Work and Save Program participant account.

Section 5 establishes the Alaska Work and Save Program under the Department of Revenue. The administrator is the Commissioner of Revenue or their designee.

- New AS 44.25.400 is the language of the program:

(b) states that an employer that does not offer a qualified retirement plan shall facilitate participation of their employees in the program.

(c) states that under the program:

- An eligible employee is automatically enrolled in the program at the default contribution rate, which increases at a rate established by the administrator.
- An employee can opt out of the program or set different contribution rates.
- Any person who earns compensation in Alaska can voluntarily enroll in the program.

(d) states that rates of return are not guaranteed and the state is not liable for loss from participation in the program.

(e) states that employers may still set up their own alternative retirement plans.

- New AS 44.25.410 sets the administrator as the trustee of amounts in the participant accounts and the administrator's mission to develop the program, conduct market and legal analysis of the program, and facilitate the investment of the funds.

- New AS 44.25.420 (a) establishes powers and duties of the administrator including developing and administering the program, adopting regulations, establishing a process for enrollment and opt out, providing investment options of the funds, reporting on the program, developing a budget, setting and changing default contribution rates, establishing the interaction participants will have with the program regarding contributions and withdrawals, fees, program and account information, and how to file a complaint against non-participatory employers, and disclose program processes and other information. (b) establishes that the administrator may seek assistance from external sources and other agencies of the state to implement the program.

- New AS 44.25.430 establishes that individual account information is confidential and is not disclosable as a public record, unless required or agreed to by the account holder.

- New AS 44.25.440 establishes that an employee may file a complaint and/or the administrator will investigate if an employer is facilitating participation in the program. If an employer has failed to do so, the only recourse the administrator has is to provide advice and training to the employer.

- New AS 44.25.490 provides definitions including that employer means a person or business that has employed more than five other persons in the state for not less than three years and does not provide a qualified plan.

Section 6 Sets an effective date of January 1, 2027.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any

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“rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

HB338 was companion legislation by Rep Costello who signed onto this bill.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Charitable giving partners such as PCG and AK529 may oppose this legislation, as it introduces an additional option for directing PFD funds and could potentially divert contributions away from their programs.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

N/A

Commissioner’s Signature: Janelle L Fares Date: 5/28/26

I have reviewed the above information and provided it to the Governor’s Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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